

no better than theirs.) In January 1990 I gave a speech to the Rotary Club in Chicago, aware that I would be expected to predict what the market would do not only that year but in the coming decade. I forestalled that request by asking my audience to think back to January 1980 and ask themselves what they thought the eighties would bring. How many of us would have thought that

1. The U.S. economy would provide seven consecutive years without a recession, the longest stretch, up to that time, in peacetime history;

2. The Soviet bloc in Eastern Europe would revolt against communism and Soviet domination, and the U.S.S.R. would not intervene;

3. A new major disease would torment us (AIDS wasn't known to exist in 1980);

4. The price of oil would drop in half (Everyone in 1980 expected the price of a barrel of oil in 1990 would be nearing \$100);

5. The United States would go from being the largest creditor nation in the world, in 1980, to the largest debtor nation.

That is why, I told my listeners, I had no intention of making predictions about the 1990s. And I'm glad I kept my mouth shut. I was certainly not someone who foresaw the imminent collapse of communism not only in Eastern Europe but in the Soviet Union itself. As for the stock market, practically no one in my business expected one of the greatest bull markets in history was about to begin—not after the already generous returns of the eighties.